ANNUAL OPERATING BUDGET

Lantern Marketplace | Detroit, MI

Property	Lantern Marketplace
Fiscal Year	2022
Submitted By	Orion Commercial Management
Submitted	July 23, 2023

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$122,940	$122,580	$123,784	$844	0.7%	$6,189.18
5010 Loss to Lease	$107,555	$99,472	$105,957	-$1,598	-1.5%	$5,297.83
5020 Vacancy Loss	$157,081	$152,360	$155,311	-$1,770	-1.1%	$7,765.57
5030 Concessions	$140,618	$151,802	$152,818	$12,200	8.7%	$7,640.89
5040 Bad Debt	$157,735	$155,174	$156,693	-$1,042	-0.7%	$7,834.66
5050 Late Fees	$68,508	$73,890	$76,724	$8,216	12.0%	$3,836.20
5060 Utility Reimbursements	$45,348	$48,172	$51,339	$5,991	13.2%	$2,566.97
5070 Parking Income	$125,933	$130,867	$130,990	$5,057	4.0%	$6,549.51
5080 Application Fees	$149,418	$146,306	$148,014	-$1,404	-0.9%	$7,400.71
5090 Pet Rent	$169,508	$181,684	$192,363	$22,855	13.5%	$9,618.14
5100 Laundry Income	$169,840	$176,228	$187,430	$17,590	10.4%	$9,371.52
5110 Cable/Internet Revenue	$69,165	$68,322	$68,544	-$621	-0.9%	$3,427.22
5120 CAM Reimbursements	$80,404	$79,204	$83,657	$3,253	4.0%	$4,182.85
5130 Tax Reimbursements	$148,852	$152,171	$160,729	$11,877	8.0%	$8,036.46
5140 Insurance Reimbursements	$88,685	$93,638	$99,443	$10,758	12.1%	$4,972.13
5150 Percentage Rent	$36,122	$37,653	$37,880	$1,758	4.9%	$1,894.00
5160 Misc. Income	$87,290	$84,205	$88,777	$1,488	1.7%	$4,438.87
5170 Payroll - Management	$150,157	$145,169	$147,476	-$2,681	-1.8%	$7,373.82
5180 Payroll - Leasing	$49,108	$45,367	$48,406	-$702	-1.4%	$2,420.30
5190 Payroll - Maintenance	$109,511	$116,748	$120,049	$10,538	9.6%	$6,002.43
5200 Payroll Taxes & Benefits	$49,340	$51,218	$52,874	$3,534	7.2%	$2,643.71
5210 Repairs - Plumbing	$80,784	$84,101	$84,727	$3,943	4.9%	$4,236.34
5220 Repairs - HVAC	$165,012	$160,564	$164,613	-$399	-0.2%	$8,230.66
5230 Repairs - Electrical	$141,468	$147,345	$151,576	$10,108	7.1%	$7,578.80

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5400 Advertising	$8,376	$8,380	$8,877	$501	6.0%	$443.85
5410 Resident Events	$73,001	$71,169	$71,870	-$1,131	-1.5%	$3,593.50
5420 Office Supplies	$80,257	$76,457	$79,187	-$1,070	-1.3%	$3,959.33
5430 Legal & Professional	$59,300	$64,006	$64,823	$5,522	9.3%	$3,241.14
5440 Accounting & Audit	$68,303	$64,185	$65,656	-$2,647	-3.9%	$3,282.82
5450 Licenses & Permits	$147,787	$159,239	$163,124	$15,336	10.4%	$8,156.18
5460 Management Fee	$67,551	$68,583	$71,639	$4,087	6.1%	$3,581.94
5470 Property Insurance	$161,222	$162,879	$162,916	$1,694	1.1%	$8,145.81
5480 Real Estate Taxes	$136,433	$143,765	$148,345	$11,912	8.7%	$7,417.26
5490 Asset Management Fee	$108,909	$106,822	$110,901	$1,993	1.8%	$5,545.07
5500 Replacement Reserves	$159,041	$152,395	$153,622	-$5,418	-3.4%	$7,681.11
5510 Roof Repairs	$162,652	$153,448	$163,727	$1,075	0.7%	$8,186.33
5520 Parking Lot Repairs	$147,188	$158,304	$162,899	$15,711	10.7%	$8,144.94
5530 Signage	$86,622	$87,053	$91,654	$5,032	5.8%	$4,582.72
5540 Tenant Improvements	$11,007	$11,020	$11,783	$776	7.0%	$589.16
5550 Leasing Commissions	$90,091	$86,232	$87,374	-$2,717	-3.0%	$4,368.71
5000 Gross Potential Rent	$99,536	$100,297	$104,314	$4,778	4.8%	$5,215.71
5010 Loss to Lease	$16,117	$16,694	$17,398	$1,280	7.9%	$869.89
5020 Vacancy Loss	$125,451	$125,200	$129,406	$3,955	3.2%	$6,470.28
5030 Concessions	$101,535	$97,014	$97,641	-$3,894	-3.8%	$4,882.03
5040 Bad Debt	$161,640	$156,743	$163,932	$2,292	1.4%	$8,196.61
5050 Late Fees	$126,046	$117,619	$121,583	-$4,463	-3.5%	$6,079.13
5060 Utility Reimbursements	$173,012	$183,481	$189,781	$16,769	9.7%	$9,489.07
5070 Parking Income	$150,589	$161,783	$164,335	$13,746	9.1%	$8,216.76
5080 Application Fees	$71,685	$75,131	$76,274	$4,589	6.4%	$3,813.69
5090 Pet Rent	$71,508	$69,871	$71,462	-$46	-0.1%	$3,573.11
5100 Laundry Income	$34,919	$36,730	$38,587	$3,668	10.5%	$1,929.33
5110 Cable/Internet Revenue	$136,749	$138,120	$138,770	$2,021	1.5%	$6,938.50
5120 CAM Reimbursements	$48,662	$47,391	$48,237	-$425	-0.9%	$2,411.85
5130 Tax Reimbursements	$70,392	$74,782	$78,906	$8,514	12.1%	$3,945.32
5140 Insurance Reimbursements	$28,125	$28,337	$28,548	$423	1.5%	$1,427.39
5150 Percentage Rent	$54,169	$57,417	$59,730	$5,561	10.3%	$2,986.49
5160 Misc. Income	$71,545	$73,479	$75,871	$4,326	6.0%	$3,793.53
5170 Payroll - Management	$159,017	$146,818	$150,098	-$8,919	-5.6%	$7,504.88
5180 Payroll - Leasing	$80,711	$76,981	$81,503	$792	1.0%	$4,075.13
5190 Payroll - Maintenance	$19,115	$19,809	$20,608	$1,493	7.8%	$1,030.42
5200 Payroll Taxes & Benefits	$91,880	$96,613	$99,404	$7,525	8.2%	$4,970.21
5210 Repairs - Plumbing	$45,268	$44,007	$46,582	$1,314	2.9%	$2,329.12
5220 Repairs - HVAC	$86,471	$89,361	$93,444	$6,972	8.1%	$4,672.18
5230 Repairs - Electrical	$58,008	$58,032	$59,062	$1,054	1.8%	$2,953.08

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Financial Analysis

Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Effective gross income for the trailing period was $378,000, representing a 10.4% increase over the prior year. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.11% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $11,000 or approximately 10.50 per square foot, with real estate taxes representing the largest line item. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Management fees are calculated at 4.2% of collected revenue and are included in operating expenses.

Property Operations

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Service requests are tracked through a work-order system with an average completion time of 19 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Collections for the period were 94.1% of billed charges, with bad debt of 7.7% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Valuation Discussion

Operating expenses totaled $128,000 or approximately 20.62 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period. Debt service coverage ratio was 6.42x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.4% of collected revenue and are included in operating expenses. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average rent is $22 per square foot with parking at a ratio of 10 spaces per 1,000 square feet. Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. The going-in capitalization rate of 6.35% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 5.9% of collected revenue and are included in operating expenses.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 15 additional team members. Collections for the period were 94.7% of billed charges, with bad debt of 6.2% of gross potential income. Average rent is $22 per square foot with parking at a ratio of 48 spaces per 1,000 square feet. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Collections for the period were 92.1% of billed charges, with bad debt of 5.0% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 17th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Financial Analysis

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Management fees are calculated at 3.4% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average rent is $22 per square foot with parking at a ratio of 35 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

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Summary and Notes

Income and Expense Review

Management fees are calculated at 3.9% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $40,000, representing a 10.0% increase over the prior year. Operating expenses totaled $196,000 or approximately 32.05 per square foot, with real estate taxes representing the largest line item. Average rent is $22 per square foot with parking at a ratio of 24 spaces per 1,000 square feet.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The going-in capitalization rate of 8.04% reflects the in-place income and the stabilized occupancy assumption. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 94.3% of billed charges, with bad debt of 3.2% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average rent is $22 per square foot with parking at a ratio of 21 spaces per 1,000 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 40 additional team members.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average rent is $22 per square foot with parking at a ratio of 7 spaces per 1,000 square feet. Service requests are tracked through a work-order system with an average completion time of 34 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

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